

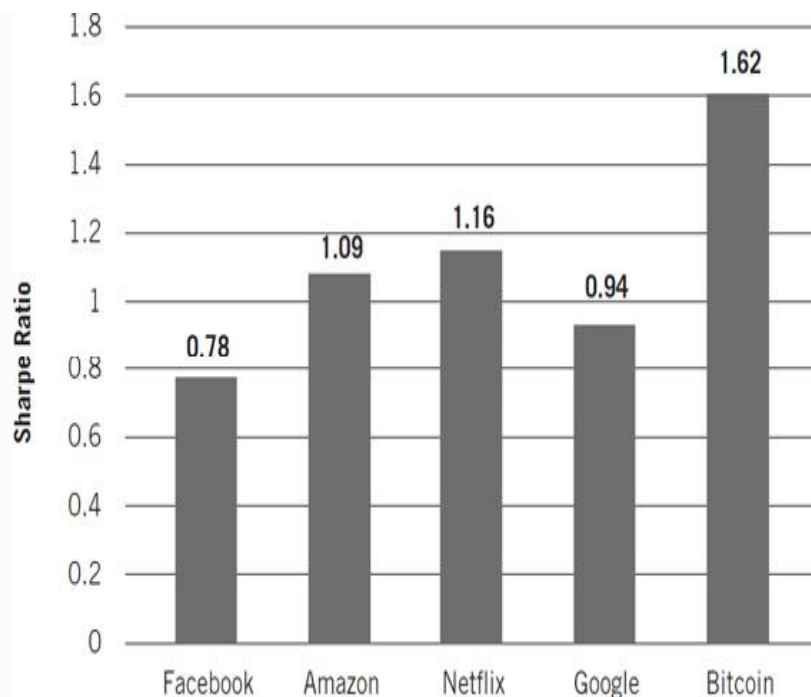


Figure 7.14 ■ Sharpe ratio of bitcoin and the FANG stocks since Facebook's IPO
Data sourced from Bloomberg and CoinDesk

Bitcoin and the FANG four's Sharpe ratio comparison clearly illustrates the importance of combining solid returns and low volatility. While Facebook's annual returns were just shy of Amazon's and better than Google's, its volatility was significantly greater than both. Therefore, since its IPO Facebook has compensated investors least well for the risk they've taken.

As we saw in [Figure 7.11](#), "Bitcoin's daily percent price changes," bitcoin's daily swings have dampened significantly over time, meaning its volatility is less. However, simultaneous with decreasing volatility, bitcoin's annual appreciation has calmed as well. In [Figure 7.15](#), we once again see the relationship between risk and reward playing out as we